

AIB AXYS AFRICA

www.aib-axysafrica.com

Stockbroking | Bond Trading | Corporate Finance | Derivatives

Gradual Recovery

According to the World Bank, the global economy is expected to expand by 6% in 2021 largely on the back of strong rebounds from a few large economies with US growth expected to reach 6.8%, and China, 8.5%. This growth is likely to be supported by the higher demand and the elevated prices in energy commodities, metals, minerals, and agricultural commodities such as coffee. The uncertainty surrounding the different dangerous COVID variants remains a key risk to the recovery. In Kenya, there has been a lag in rolling out the vaccines as less than 1.5% of the population are fully vaccinated.

- **Economic activity:** In 2Q21, economic growth began on a low note as activities were affected by the lockdown imposed at the end of 1Q21 to curb the third wave of corona. An increasing PMI as the second quarter closed was a good indicator of the improving the economic and business environment. Growth in 3Q21 is likely to pick up as the government embarks on its economic recovery plan to help achieve a resilient economy by focusing more on key sectors such as agriculture, manufacturing and improving infrastructure across the country.

- **Inflationary Pressure:** In 2Q21, inflation gradually increased from 5.90% in March to 6.32% in June mainly driven by higher food and fuel prices. In 2H21, the uptick in local food prices, increased global commodity prices, and the relatively higher tax rates are likely to exert upward pressure on headline inflation.

- **Accommodative monetary policy and widening fiscal deficit:** During the quarter, CBK maintained the Central Bank Rate (CBR) at 7.0% while the cash reserve ratio was maintained at 4.3%. The National Treasury proposed a KES 3.03 trillion budget for FY2021/22 with revenue anticipated to come in at KES 2.04 trillion and a fiscal deficit of KES 0.93 trillion.

- **Equity market:** In 3Q21, improved investor sentiment is likely to drive gains in the NSE. We expect increased interest in the Banking, Manufacturing, and Construction sectors.

July 23rd, 2021

Sovereign Credit Rating:

Moody's: B2 (negative)

Fitch: B+ (negative)

S&P: B+ (negative)

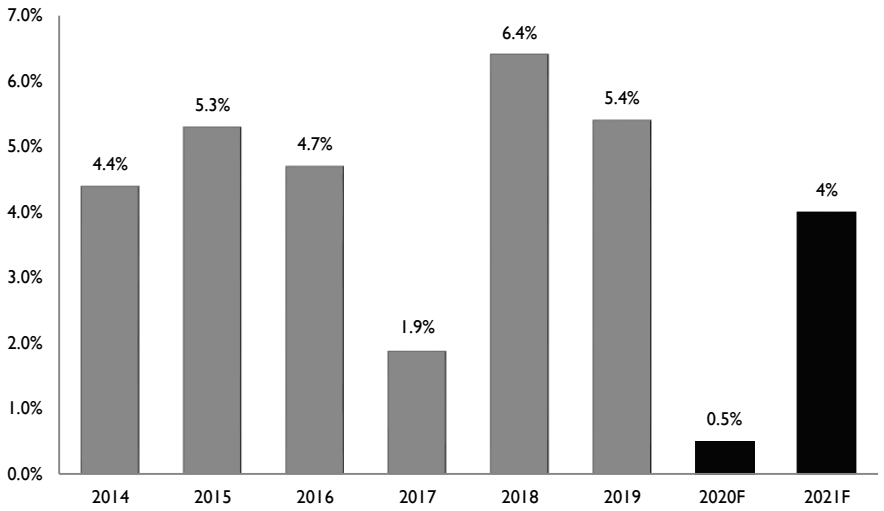
GDP Growth (3Q20):	-1.1%
June Inflation:	6.32%
Interbank rate:	3.05%
C.B.R:	7.00%

Analyst
Sarah Wanga, CFA
+254 114842208
sw@aib-axysafrica.com

Economic Performance

➢ **Economic activity:** In the first three quarters of 2020, the Kenyan economy contracted by 0.6% due to measures taken by the government to curb the spread of the COVID-19 pandemic. There was a shutdown in some sectors such as tourism and hospitality and the education sector, while activity in the manufacturing, transport and trade sectors greatly declined.

Graph 1: GDP Growth

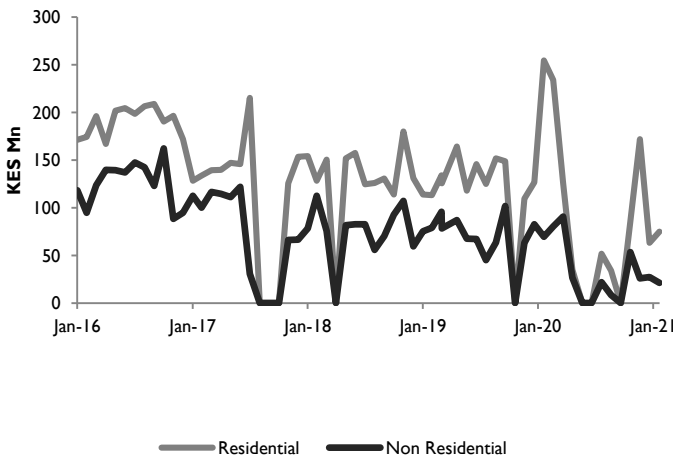


Source: KNBS

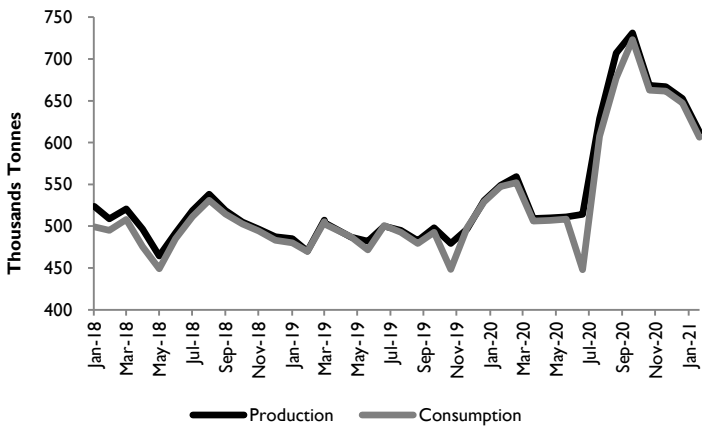
➢**Slow Paced growth in 2Q21:** In 2Q21, economic growth began on a low note as activities were affected by the lockdown imposed, at the end of 1Q21, to curb the third COVID wave. Increased growth is likely to have been recorded in the construction, real estate, finance and insurance, and the wholesale and retail trade sectors.

Leading economic indicators seem to indicate that in 2Q21, the economy was on its way to a recovery. The Markit Stanbic Bank Kenya Purchasing Managers' Index (PMI) rose from 41.5 in April to close the second quarter at 51.0, indicating an improvement in the business environment, and increase in employment and production.

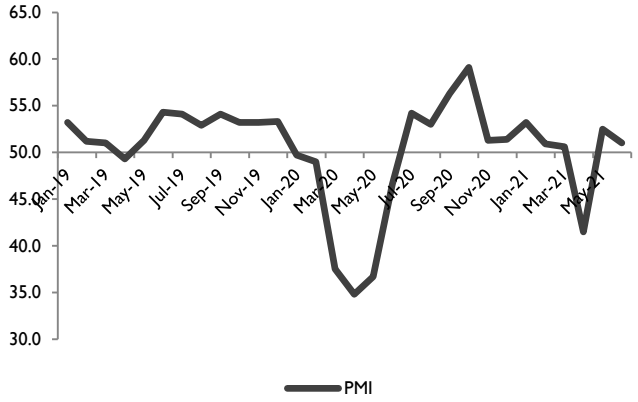
Graph 2: Value of Buildings



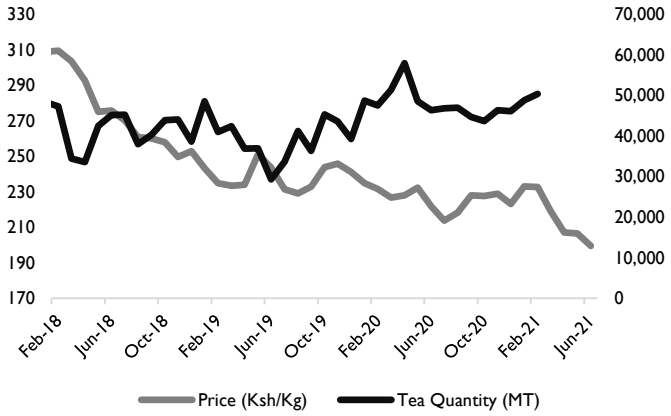
Graph 3: Cement



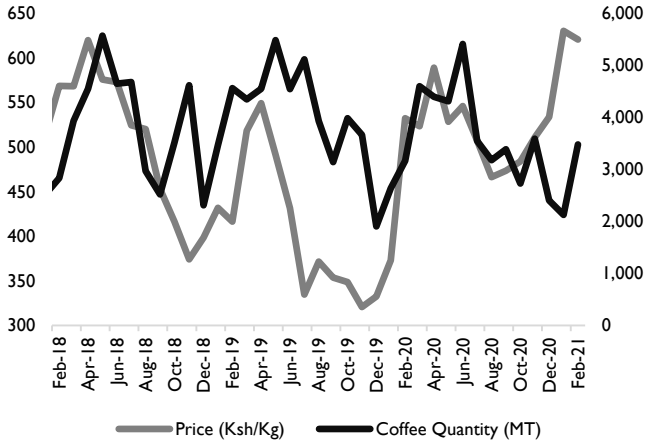
Graph 4: PMI



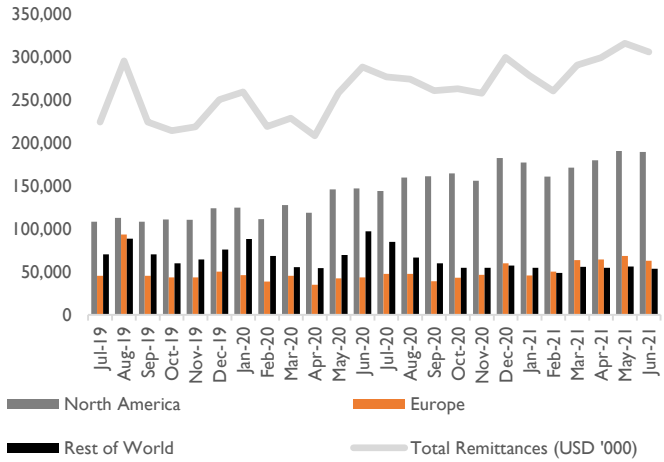
Graph 5: Tea



Graph 6: Coffee



Graph 7: Diaspora Remittances



Source: KNBS, AIB-AXYS Africa research

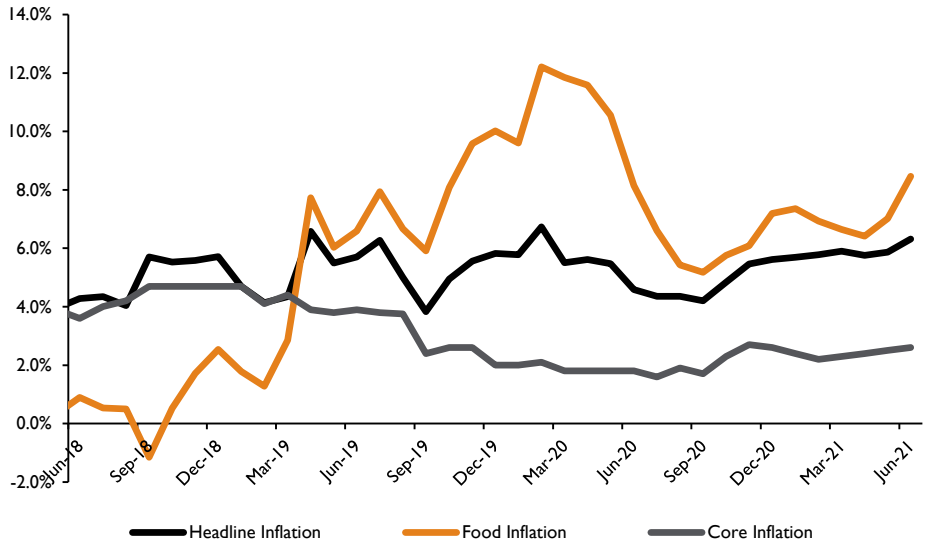
➢**Increased economic activity in 3Q21:** We anticipate a faster-paced growth as the government embarks on its recovery plan. During the budget reading, the government announced that it will undertake strategic interventions to help achieve a resilient and sustainable economy by focusing on key economic sectors such as agriculture, manufacturing, tourism, sustainable land usage and environmental conservancy.

➢**Economic growth outlook:** We remain positive about Kenya's growth prospects as we expect 2021 GDP growth to increase to 4%. . In line with our expectation, the World Bank has since revised its 2021 growth estimates to 4.5% from its previously overambitious target of 6.0%. We, however, remain concerned over the widening budget deficit, increasing debt levels, and increased taxes.

Inflation

- **Subdued inflationary pressures:** In 2Q21, inflation gradually increased from 5.90% in March to 6.32% in June. The rise in inflation was mainly driven by higher food and fuel prices. Food inflation increased to 8.46% in 2Q21 from 6.65% in 1Q21 attributed to unfavourable weather conditions which rocked the entire in the second quarter. Meanwhile, core inflation also rose from 2.3% to 2.6% as consumer demand increased.

Graph 8: Inflation



Source: KNBS, CBK, AIB-AXYS Africa research

- **Rising crude oil prices:** In 2020, oil prices plunged due to a supply glut as demand reduced. OPEC and its oil producing allies responded by cutting production as they sought to buoy prices. Tighter supplies and increasing demand as economies recovered from the coronavirus pandemic led to an increase in prices. In 2H21, prices are expected to remain elevated as demand increases but a decision by OPEC+ to gradually increase production could help prevent a spike in oil prices.

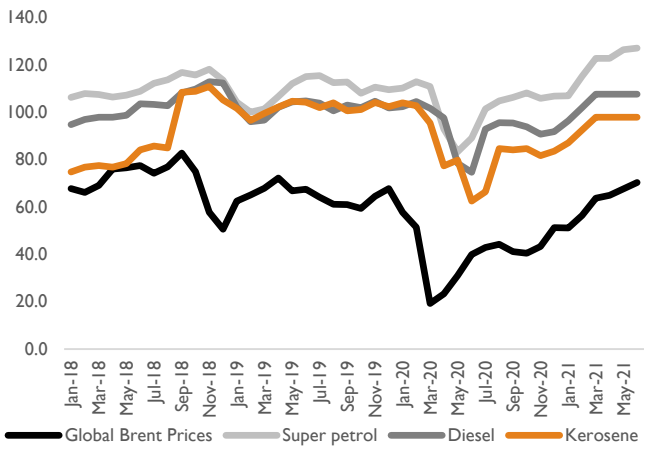
Graph 9: Brent Crude Prices (USD)



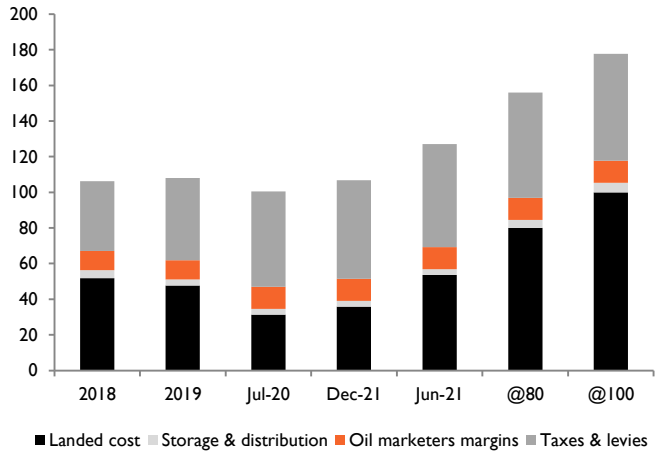
- **Local pump prices increase:** In 1H21, local pump prices increased in-line with the rise in global crude oil prices. The increase in local pump prices has been magnified by the higher taxes. In recent years, the government has raised taxes on oil products as it seeks to increase its revenues.

  In July, the energy regulator opted to cut suppliers' sales margin by up to KES 7.31 a liter to keep petrol and diesel prices unchanged in a bid to cushion Kenyans. The suppliers were compensated through the Petroleum Development Levy. This decision is unlikely to offer a long-term solution as an increase in global prices is likely to push pump prices higher and the fund is unlikely to be enough to subsidize prices for several months. A reduction of taxes on the product would offer a more lasting solution but this is unlikely to be an option as the government is keen on increasing tax revenues.

Graph 10: Pump prices



Graph 11:Breakdown of prices



Source: KNBS, CBK, AIB-AXYS Africa research

- **Prices to increase in 2H21:** In 2H21, headline inflation is likely to edge higher driven by an uptick in local food prices, increased global commodity prices, and the relatively higher taxes. In 2020, the tax rates were lower as the government reduced the rates as it sought to cushion Kenyans during the pandemic. In 1H21, the government increased taxes on major commodities such as the liquefied petroleum gas, airtime, and data, these are likely to exert marginal upward pressure on inflation. Meanwhile, core inflation is likely to register a marginal increase but remain below 4% as consumer demand remains muted.

  In 3Q21, we expect inflation to edge towards CBK's upper target of 7.5% driven by higher food and fuel prices.

Currency

➢ **Shilling appreciates against major currencies:** In 2Q21, the Kenyan shilling marginally appreciated the USD.

Table 1: KES performance

	USD/KES	EUR/KES	GBP/KES	JPY(100)/KES	YUAN/KES	RUPEE/KES	KES/UGX	KES/TZS	RAND/KES
YTD	1.23%	4.13%	-0.57%	8.69%	0.34%	2.81%	-1.25%	1.23%	-0.68%
Q/Q	1.54%	0.29%	0.99%	1.81%	-0.04%	2.67%	-1.51%	1.54%	-2.66%

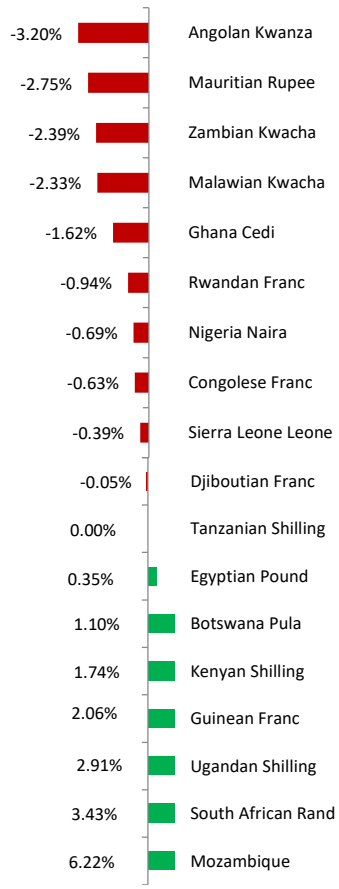
Source: CBK,AIB-AXYS Africa research

The shilling relatively appreciated against the USD mainly due to increased diaspora inflows and CBK's intervention in the currency markets. In inflows from the IMF and World Bank led to a rise in CBK's usable forex reserves from USD 7.3 billion at the end of March to USD 8.1 billion at the end of June representing an increase to 4.96 months of import cover from 4.51 months of import cover.

Global tea prices have been declining due to a glut as top tea producing countries recover from a trading break occasioned by the Covid-19 pandemic. The reduction in tea prices is likely to decrease export earnings, thereby negatively affecting the shilling.

.

Graph 12: African currencies



Source: Bloomberg, AIB-AXYS Africa analyst estimates

Fiscal Policy

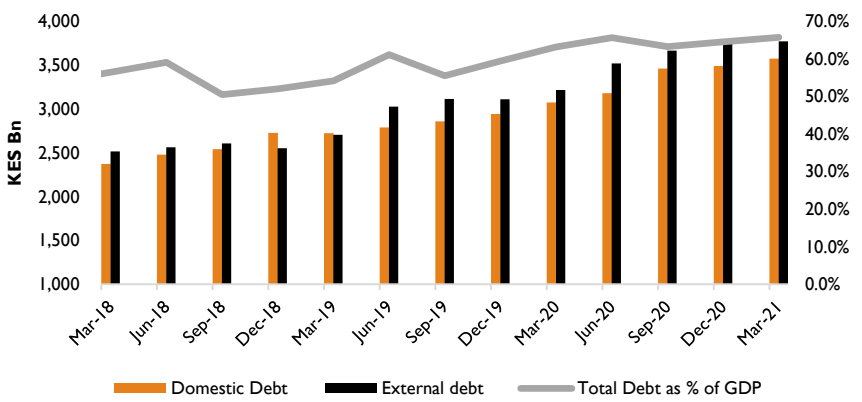
- **Revenue collections fall below target:** In FY2020/21, government revenues were 0.7% below target and 9% lower than the previous year's collections. This was mainly due to underperformance in the VAT and PAYE segments. The decline in year-on-year revenue collection may be attributed to the measures the government took in March 2020 to cushion Kenyans against the adverse effects of the pandemic.
  The government had anticipated that PAYE and VAT collections would be lower thus they revised their collection targets downwards. The fact that actual PAYE collections were lower than the revised target is an indication there were more job losses than the government had anticipated.

- **Recurrent expenditure remains elevated:** During the period under review, total expenditure was marginally lower than H1 FY2019/20. This may be attributed to the government's inability to reduce recurrent expenditure. Salaries and wages remained the largest portion of expenditure, while domestic interest rates increased in line with the increase in government borrowing.

- **Increasing debt:** The sustainability of Kenya's debt remains a key concern as sovereign debt levels increase. The latest figures from the National Treasury indicate that in April, the country's total public debt stood at KES 7.42 trillion ($68.59Bn) which is 66% of GDP and a 15.3% increase in the corresponding period last year. Domestic debt was at KES 3.63 trillion ($35.34 billion), 32% of GDP, while the external debt stood at KES 3.78 trillion ($36.76 billion), 34% of GDP.

  The expanding Debt-to-GDP ratio remains a key source of concern with credit rating firm Moody projecting the country's debt and interest burden to hit 72.6% of GDP and 28% of revenue by 2023. The World Bank and the IMF, however, maintain that the country's debt is sustainable.

Graph 13: Debt-to-GDP



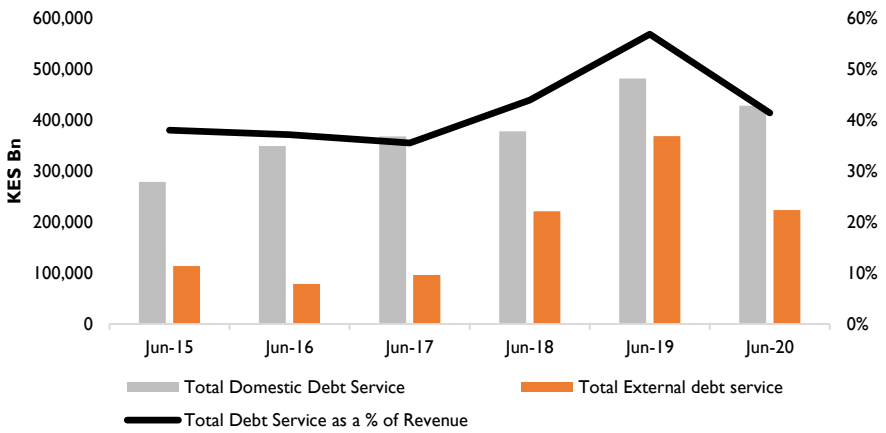
Source: Treasury, AIB-AXYS Africa research

- **Lower refinancing risk as the average time to maturity of debt increases:** In 2020, the average time to maturity for both domestic and external debt improved from 5.7 years and 11.0 years in 2019 to 6.3 years and 11.2 years respectively. The ATM for total debt increased from 8.7 years to 9.1 years in 2020. We expect this trend to continue in 2021 with the government issuing longer dated papers.

- **Debt Service:** According to the National Treasury, total debt service payments as a percentage of revenue declined to 41.4% in 2020 from 56.8% in 2019. This ratio is expected to improve farther as several the government's external debt service payments have been suspended.

  In December 2020, Kenya signed the Memorandum of Understanding with the Paris Club group of lenders under the framework of the G20 Debt Service Suspension Initiative (DSSI). The deal that saw a 6-month debt service suspension to June 2021 from Exim Bank and the Paris club worth Sh32Bn and Sh27Bn. Recently, the debt relief was extended to December 2021 further reducing the debt service to revenue ratio for the year.

Graph 14: Debt Service



Source: CBK, National Treasury, AIB-AXYS Africa research

- **What to expect in 3Q21:** The government's debt is likely to increase as revenue collection fall below target. We expect Treasury to seek more concessional loans which are cheaper and with longer maturity. We also expect the government to favor issuance of longer-term debt instruments as it seeks to lengthen the tenure of its debt and reduce refinancing risk. The recent debt relief extension is likely to reduce pressure on the government.

- **FY2021/22 budget falls below target:** The National Treasury proposed a KES 3.03 trillion ($28.1Bn) budget for FY2021/22 with revenue anticipated to come in at KES 2.04 trillion ($18.9Bn) and a fiscal deficit of KES 0.93 trillion ($8.62Bn) which is 7.5% of GDP.

  The fiscal deficit will be financed by net external borrowing of KES 271.2Bn ($2.5Bn) and net domestic borrowing of KES 658.5Bn ($6.1Bn). The domestic borrowing target is a 33.5% increase from the previous year. We, therefore, expect an increase in interest rates as the government is likely to accept aggressive bids as it seeks to meet its domestic borrowing target.

Table 2: Budget

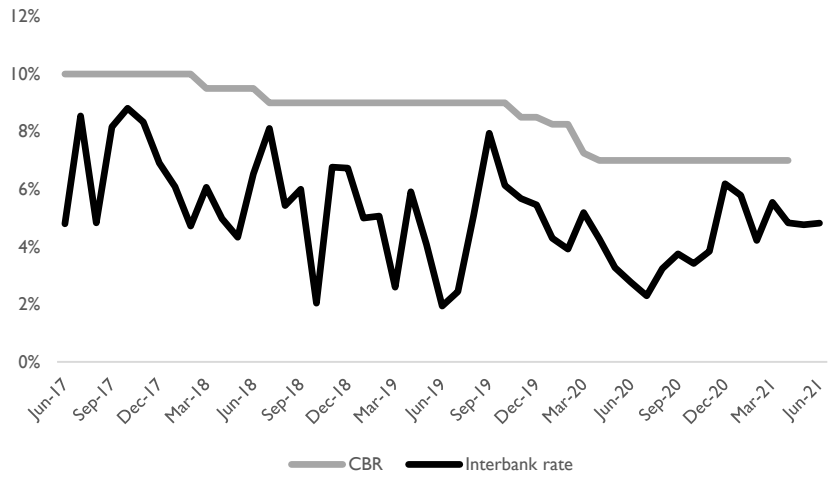
	Budget FY20 /21 KES B	Budget FY21/22 KES B	% change
Government Revenue			
Ordinary Revenue	1,630.00	1,775.60	8.93%
Ministerial Appropriation in Aid	260	263	1.15%
Total Revenue	1,890.00	2,038.60	7.86%
Government Expenditure			
Recurrent Expenditure	1,820.00	2,019.20	10.95%
Development Expenditure	633.1	669.6	5.77%
Total Expenditure	2,790.00	3,030.30	8.61%
Deficit Financing			
Net foreign financing	347	271.2	-21.84%
Other Domestic Financing	0.6		-100.00%
Net Domestic Financing	493.4	658.5	33.46%
Total Deficit	840.6	929	10.52%

Source: National Treasury

Monetary Policy

- **Accommodative monetary policy:** During the quarter, CBK maintained the Central Bank Rate (CBR) at 7.0%. The cash reserve ratio which was reduced by 100bps last year was also maintained at 4.3%. In 3Q21, we expect the Bank to maintain its accommodative monetary policy stance

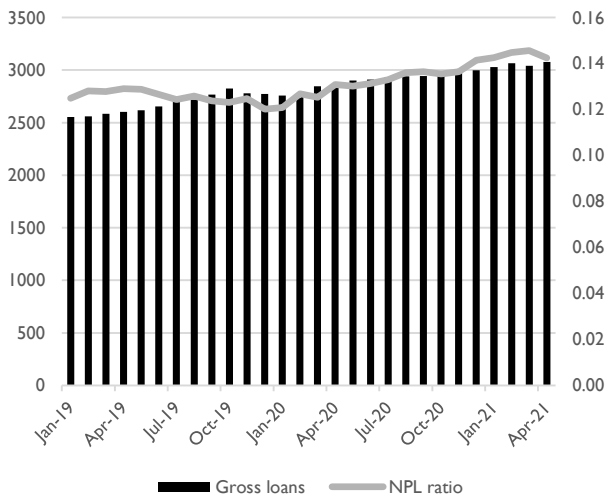
Graph 15: Central Bank Rate



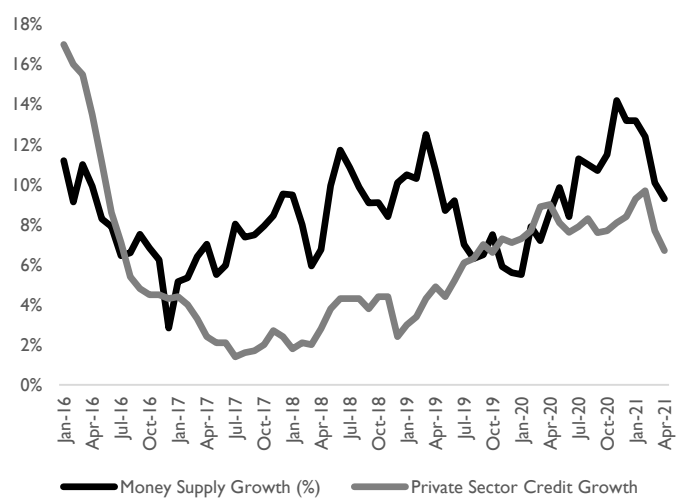
Source: CBK, AIB-AXYS Africa research

- **Reduced private sector credit growth:** In 1H21, credit growth to the private sector reduced as commercial banks' risk appetite decreased. The high NPLs remain a source of concern.

Graph 16: Gross Loans and NPL's



Graph 17: Private Sector Credit growth

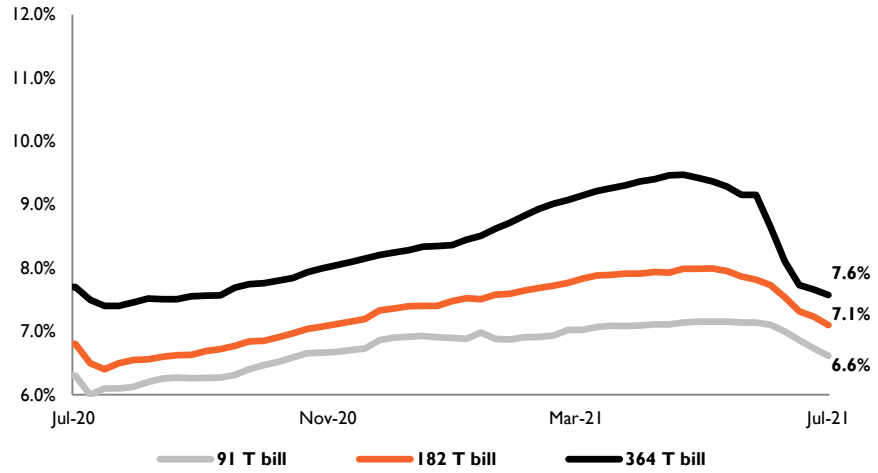


Source: CBK, AIB-AXYS Africa research

Interest Rates Outlook

- **Gradual increase in short-term interest rate:** The government's appetite for debt remains elevated with a 55% increase in its domestic borrowing target to KES 658.5 billion in FY21/22. In the first quarter of the fiscal year, we expect short-term rates to marginally increase.

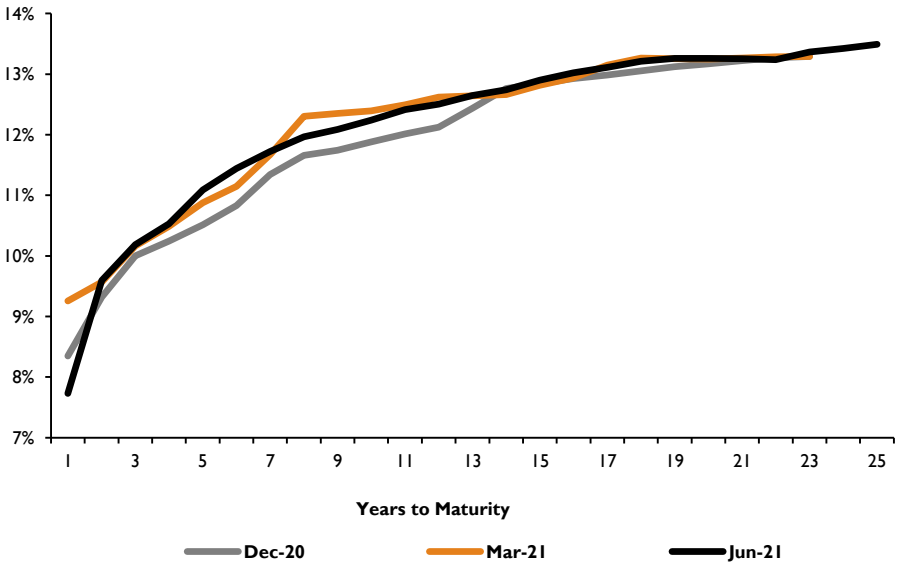
Graph 18: T-Bill rates



Source: CBK, AIB-AXYS Africa research

- **Yield curve expected to flatten:** In 2Q21, the yield curve steepened as short term rates declined while the long end of the yield curve remained relatively unchanged. In 3Q21, we expect the long end of the yield curve to remain unchanged with an upward bias while the short end is likely to marginally increase.

Graph 19: Yield curve



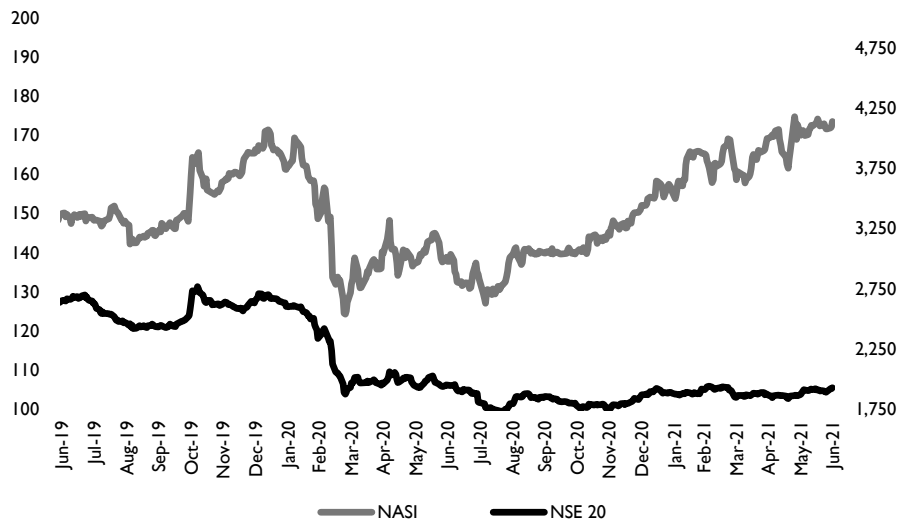
Source: NSE, AIB-AXYS Africa research

Equity Market

- **Positive returns:** During the quarter, the NSE 20 and NASI indices were up 4.39% and 9.40% respectively. On a year-to-date basis, the NSE 20 and NASI were up 3.17% and 14.08% respectively. Equity market turnover increased by 20.1% to KES 37.99Bn ($352.25Mn) in 2Q21 from KES 31.65Bn ($293.42Mn) in 1Q21. The pick-up in activity was on the back of increased investor sentiments on Safaricom and banking stocks.

- **Safaricom rallies:** In 2Q21, Safaricom touched a high of KES 42.75. The positive sentiment on Safaricom was mainly fuelled by news that a consortium led by Safaricom, was awarded a 15-year telecommunications licence to operate in Ethiopia. The financial investment in Ethiopia is expected to be over $8 billion, partly funded by a loan from US International Development Finance Corporation. There is a huge potential for growth in the Ethiopian market, with a 100 million population and a mobile penetration rate of 44%. However, the huge infrastructure investment in the new market is likely to cause an increase in the Telco's capital expenditure.

Graph 20: NSE Indices



Source: NSE, AIB-AXYS Africa research

- **3Q21 Outlook:** In 3Q21, improved investor sentiment is likely to drive gains in the NSE. We expect increased interest in the Banking, Manufacturing, and Construction sectors. The improved economic conditions are likely to board well for banks as they expend their loan books expand, asset quality improves, and provisions decrease. The increased government infrastructure spending has led to a pick-up in cement supply and demand. This is likely to benefit the cement sector and Bamburi Cement as its the main supplier of cement for the government's infrastructure projects. In the manufacturing sector, EABL is likely to benefit from the easing restrictions as demand for beer and spirits increase.

CONTACTS:

Research Desk

Sarah Wanga, CFA
Head of Research

Brian Kigen

Diana Silali

Email: research@aib-axysafrica.com

Equities Dealing

Bernard Kung'u

Benard Gichuru

Brian Tanui

Nina Goswami

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing

Crispus Otieno

Titus Marenye

Email: trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.